Writing plan: Greggs mid-term note

Notes only, not sentences. Turn each bullet into your own paragraphs.

How to use this plan

1. Do not open the old AI draft while you write. Work only from this plan, the lecture slides and your own notes.
2. Write each section in one sitting, in your own voice. Imperfect is fine; it is a draft for feedback.
3. Use 'I' where you report your own work, e.g. 'When I opened the Greggs app on 31 October…'.
4. Take your own screenshot of the Greggs app (rewards or Click + Collect screen) and add it as Figure 1, above or instead of the audit table.
5. Optional but stronger: redraw Figure 2 by hand and photograph it. The brief allows a hand drawing, and the lecturer's own examples are hand-drawn.
6. Keep each section near its word budget; the budgets add up to 1,300.
7. Reuse the reference list from the current document. Every author you cite in the text must appear there.
8. When a section is done, send it to me and I will give feedback on logic, frameworks, citations and length.

Introduction (~120 words)

Say who Greggs is, what is going wrong, and what you will recommend.

Facts to use (Greggs plc, 2026)

- 2,739 shops; sales £2,151m in 2025
- App scanned in 26.7% of company-managed transactions (20.1% the year before)
- Delivery = 6.8% of sales
- Sales +6.8% BUT underlying operating profit -4.0%

Your argument in one line

- Growth not turning into margin -> next step = app becomes engine of data-driven production + pricing
- Note will also cover how Greggs organises for it

1. Value opportunities (~260 words)

Macro trend -> what it means for the industry -> threat or opportunity for Greggs. Pick 3 trends only (lecture 1 advice).

Frameworks to name

- PESTEL (Aguilar, 1967) for macro; Porter's five forces (Porter, 2008) for industry

Economic

- Employer National Insurance up to 15% from April 2025 (HM Treasury, 2024)
- Labour-heavy shop estate; customers trading down
- Industry: rivalry with supermarket meal deals; buyers' switching costs ~zero
- = THREAT to a volume / low-cost model

Social

- Mobile, all-day eating; evening = fastest-growing daypart, 9.4% of sales (Greggs plc, 2026)
- Industry: Just Eat / Uber Eats gain bargaining power, own the customer interface, take commission

Environmental

- Fresh bakery = unsold food every evening
- Too Good To Go: 5m+ meals saved (Grocery Gazette, 2025) - but recovery, not prevention

Link back to the firm

- Trends squeeze an advantage based on low unit cost

- Opportunity: Greggs has BOTH first-party app data AND its own manufacturing + logistics - rare combo

2. How the business model will change (~300 words)

Current model -> value gaps (with your evidence) -> new model. Refer to the C/P labels in Figure 2.

Framework

- Value creation / value configuration / value capture (Whittington et al., 2024)

Current model (Figure 2)

- C1 creation: cheap, consistent food-to-go, everywhere
- C2 configuration: vertically integrated; bake quantities still set shop by shop
- C3 capture: volume, low prices, rewards mainly stamp cards

Value gaps - use Figure 1 + YOUR OWN screenshot

- Write in first person: what did YOU see when you opened the Greggs app? (date it)
- Gap 1: app rewards repeat buying (6 category stamp cards, 10th free) but no sign Click + Collect orders shape what shops bake
- Gap 2: surplus sold cheaply in a separate third-party app
- Gap 3: delivery via aggregators -> they keep margin + customer data

Proposed 'Greggs Connected' (Figure 2)

- P1: offers based on purchase history + time of day; order ahead into collection slots incl. evening
- P2: AI demand forecast (pre-orders, sales history, weather, local events) -> shop bake plans + central production at new distribution sites
- P3: more visits / bigger baskets; less waste + labour cost; in-app late-day discounts before TGTG; shift orders from aggregators to own app
- P4: managers can override the forecast -> their local knowledge improves the model

3. The suggested competitive advantage (~170 words)

Name the type of advantage, explain why, and add one critical point.

Points

- Same critical success factors as rivals (price, convenience, taste) -> generic strategy, NOT blue ocean (Kim and Mauborgne, 2004)
- Greggs = hybrid: cost leadership + some differentiation (brand, signature products) (Whittington et al., 2024)
- Transformation strengthens both: forecasting lowers unit cost; personalisation raises revenue per customer

Critical thinking (needed for a 1st)

- An app alone is easy to copy - Tesco Clubcard far ahead on data
- Hard to copy = data linked to Greggs' OWN supply chain -> advantage from fit between activities (Porter, 1996)

4. Potential challenges to change (~200 words)

Use the three challenges from lecture 3: organisation, leadership, staff.

Opening point

- Most digital transformations fail for organisational, not technical, reasons (de la Boutetière, Montagner and Reich, 2018)

Organisation: competency trap

- Core capability = efficiency, standard products, central control

- Record sales -> 'why change?' -> capability becomes core rigidity (Leonard-Barton, 1992)

Leadership: bounded rationality

- Risk: leaders see digital as marketing (app downloads), not as operating-model change
- Capex peaked at £287.5m in 2025; profit guided flat for 2026 (Greggs plc, 2026) -> pressure to delay

Staff: ground-level resistance

- Shop managers lose control of 'their' bake to an algorithm
- Most staff in shops, not at desks -> hard to reach
- 602 franchised units -> partners with different incentives

5. Overcoming the challenges (~210 words)

Remedies from lecture 3, then the agile model from lecture 4 - choose 3 dimensions only.

Remedies

- Dual strategy / structural ambidexterity: small 'Greggs Connected' unit, protected from short-term cost targets, reports to exec team (O'Reilly and Tushman, 2004)
- Dynamic capabilities: sense -> pilot ~50 shops in one region -> measure waste, sales, staff -> reconfigure, then scale (Teece, 2007)

Agile - target a MODERATE level, not Google

- Agility where data, supply chain and shops meet (Rigby, Sutherland and Noble, 2018)
- 8-dimension model from class (Curchod, 2026a) - pick these 3:
- Processes and routines: cross-functional team (data, supply chain, shop ops, marketing + 2 shop managers); short cycles; power to change bake-plan rules
- Skills and employee development: hire data people; train managers to read AND override forecasts; algorithm = recommendation, not order
- Communication and transparency: share pilot results + shop waste savings on mobile channels; collect feedback the same way

National culture (lecture 5)

- UK = Western ecosystem (Curchod, 2026b): customers already use aggregators + mobile wallets -> app should work with them, not replace them

Conclusion (~40 words)

Two or three sentences. No new information.

Points

- Pieces already exist (app, delivery, new supply chain) -> next step = connect them
- Staged + managers involved -> protects hybrid advantage under cost pressure

End of note: write 'Word count: X words' and then the reference list.